

Netflix Q3 2024 Earnings Report: Strong Subscriber Growth, Ad-Tier Success, and Promising Outlook

Netflix (NFLX) demonstrated impressive results for the third quarter of 2024, surpassing Wall Street's expectations in subscriber growth and in revenue. For the quarter ending September 30, 2024, Netflix added 5.1 million new subscribers, significantly exceeding the estimate of 4 million. This addition brought Netflix's global subscriber base to 282.7 million, a 14% increase year-over-year.

A key driver of this growth was the continued success of Netflix's ad-supported tier, which now accounts for 50% of all new sign-ups. This was launched almost two years ago in 12 countries. The ad-tier has proven to be a profitable and popular initiative. The company expects further growth in this area due to a forecast from J.P. Morgan of an expansion of Netflix sports content—for example upcoming NFL Christmas Day games and the livestream of the Mike Tyson vs. Jake Paul fight—is expected to help drive engagement and ad-tier subscriptions in the fourth quarter.

In addition to subscriber gains, Netflix posted a strong revenue performance for the quarter, reporting \$9.83 billion, a 15% year-over-year increase, and beating analysts' expectations. The company also maintained profitability, adding to investor confidence. Netflix's stock has risen over 60% since the beginning of the year, this reflects both strong performance and positive outlook toward its ongoing transformation.

A major contributor to Netflix's success continues to be its original content. Popular series such as *Emily in Paris* Season 4, *The Perfect Couple*, and the first part of *Cobra Kai* Season 6 drove strong engagement in Q3. These examples demonstrate Netflix's ability to deliver content that resonates with global audiences and keeps subscribers engaged.

Looking ahead, Netflix's outlook remains promising. The company expects fourth-quarter revenue to reach \$10.13 billion, with earnings per share projected to hit \$4.23. Additionally, for the full year of 2025, Netflix predicts revenue to be between \$43 billion and \$44 billion, driven by continued improvements in its original programming and expansion into live sports content.

In summary, Netflix's Q3 2024 results demonstrate the company's ability to deliver solid subscriber growth, strong financial performance, and an expanding content library that appeals to a diverse audience. The successful rollout of its ad-supported tier and the strategic expansion into live sports highlight Netflix's evolving business model and position it for continued success in the competitive streaming industry.